

KELANI TYRES PLC

(Reg: No. PQ 123)

**INTERIM FINANCIAL STATEMENTS
FOR THREE MONTHS ENDED JUNE 30, 2020**



Corporate Office
203, Union Place
Colombo 02.

KELANI TYRES PLC AND ITS GROUP
**CONSOLIDATED STATEMENT OF
COMPREHENSIVE INCOME**

(all amounts in Sri Lankan Rupees thousands)

	Group		Company	
	Apr. - Jun. 2020 (Un audited)	2019 (Audited)	Apr. - Jun. 2020 (Un audited)	2019 (Audited)
Revenue	44,693	100,179	44,452	99,232
Direct costs	(40,265)	(90,632)	(40,046)	(90,301)
Gross margin	4,428	9,547	4,405	8,931
Other operating income	1,782	1,855	1,782	1,849
Administrative costs	(5,527)	(6,384)	(5,521)	(6,378)
Management Expenses	(8,640)	(8,723)	(8,640)	(8,723)
Depreciation	(2,183)	(2,172)	(2,183)	(2,172)
Operating profit	(10,140)	(5,878)	(10,157)	(6,493)
Finance Income	2,923	939	2,923	939
Finance costs	(2,667)	(2,319)	(2,667)	(2,292)
Profit/(Loss) before tax	(9,884)	(7,258)	(9,900)	(7,846)
Tax	-	-	-	-
Profit/(Loss) after tax	(9,884)	(7,258)	(9,900)	(7,846)
Share of results of JV	91,357	137,087	-	-
Profit/(Loss) for the period	81,473	129,829	(9,900)	(7,846)
Other comprehensive income:	-	-	-	-
Items that will not be reclassified to profit or (loss)				
Share of other comprehensive - -Income/expenses from Joint Venture	(517)	221	-	-
Total comprehensive income - -for the period, net of tax	80,957	130,050	(9,900)	(7,846)
Earning per share (for the period)	1.01	1.61	(0.12)	(0.10)

KELANI TYRES PLC AND ITS GROUP

CONSOLIDATED STATEMENT OF FINANCIAL POSITION

(all amounts in Sri Lankan Rupees thousands)

	Group		Company	
	30-06-2020 (un-audited)	31-03-2020 (Un-Audited)	30-06-2020 (un-audited)	31-03-2020 (Un-Audited)
ASSETS				
Non-current assets				
Property, plant and equipment	38,808	41,209	39,549	41,733
Investment Property	439,824	439,824	439,824	439,824
Investments in subsidiaries	-	-	10	10
Investment in JV	3,989,378	3,898,538	139,607	139,607
	4,468,009	4,379,571	618,990	621,174
Current assets				
Trade and other receivables	234,728	676,880	234,432	676,097
Income Tax Refund	400	400	-	-
Short term investment	443,125	-	443,125	-
Cash and cash equivalents	185,196	185,411	182,519	183,454
	863,449	862,690	860,075	859,551
Total assets	5,331,459	5,242,261	1,479,066	1,480,725
EQUITY AND LIABILITIES				
Equity attributable to equity holders				
Stated capital	402,000	402,000	402,000	402,000
Revaluation reserves	971	971	971	971
Other reserves	486,636	486,636	-	-
Retained earnings	4,281,630	4,200,673	915,957	925,857
Total equity	5,171,237	5,090,280	1,318,928	1,328,828
Non - current liabilities				
Borrowings	18,333	20,833	18,333	20,833
Retirement benefit obligations	6,730	6,730	6,730	6,730
	25,063	27,563	25,063	27,563
Current liabilities				
Trade and other payables	46,251	50,574	46,166	50,490
Borrowings	10,000	10,000	10,000	10,000
Bank Overdraft	78,908	63,844	78,908	63,844
	135,159	124,418	135,075	124,334
Total liabilities	160,222	151,981	160,138	151,897
Total equity and liabilities	5,331,459	5,242,261	1,479,066	1,480,725
Net Asset Value Per share	64.32	63.31	16.40	16.53

I certify that these financial statements have been prepared in compliance with requirements of the Companies Act, No. 07 of 2007.

Sgd

P. R. Mann

Finance Officer

The Board of Directors is responsible for the preparation and presentation of these Financial statements.

Sgd

Rohan T. Fernando

Managing Director

4th August 2020

Sgd

(Mrs). S. S Jayatilaka

Director

KELANI TYRES PL AND ITS GROUP**CONSOLIDATED STATEMENT OF CHANGES IN EQUITY**

(all amounts in Sri Lanka Rupees Thousands)

Company

	Stated capital	Revaluation Reserve	Other Reserve	Retained Earnings	Total
Balance at 1 April 2019 (Audited)	402,000	971	-	579,660	982,631
Profit for the Period	-	-	-	(7,846)	(7,846)
Balance at 30th Jun. 2019 (Audited)	402,000	971	-	571,814	974,785
Balance at 1 April 2020 (Un-Audited)	402,000	971	-	925,857	1,328,828
Profit for the Period	-	-	-	(9,900)	(9,900)
Balance at 30th Jun. 2020 (Un-Audited)	402,000	971	-	915,957	1,318,928

KELANI TYRES PL AND ITS GROUP**CONSOLIDATED STATEMENT OF CHANGES IN EQUITY**

(all amounts in Sri Lanka Rupees Thousands)

Group

	Stated capital	Revaluation Reserve	Other Reserve	Retained Earnings	Total
Balance at 1 April 2019 (Audited)	402,000	971	486,636	3,961,448	4,851,055
Profit for the Period	-	-	-	129,829	129,829
Other comprehensive income	-	-	-	221	221
Balance at 30th Jun. 2019 (Audited)	402,000	971	486,636	4,091,498	4,981,104
Balance at 1 April 2020 (Un-Audited)	402,000	971	486,636	4,200,673	5,090,280
Profit for the Period	-	-	-	81,473	81,473
Other comprehensive income	-	-	-	(517)	(517)
Balance at 30th Jun. 2020 (Un-Audited)	402,000	971	486,636	4,281,630	5,171,237

KELANI TYRES PLC AND ITS GROUP

Cash flow statement

(all amounts in Sri Lankan Rupees thousands)

	Three months ended 30 Jun. 2020		Three months ended 30 Jun. 2019	
	Group	Company	Group	Company
Cash flows from operating activities				
Cash generated from (used in) operations	(13,035)	(13,756)	4,642	3,719
Interest received	2,923	2,923	939	939
Interest paid	(2,667)	(2,667)	(2,319)	(2,292)
Net cash generated from (used in) operating activities	(12,779)	(13,500)	3,262	2,366
Cash flows from investing activities				
Net cash (used in)/generated from investing activities	-	-	-	-
Cash flows from financing activities				
Change in Bank borrowings	(2,500)	(2,500)	37,862	38,333
Net cash (used in)/generated from financing activities	(2,500)	(2,500)	37,862	38,333
Net (decrease)/increase in cash and cash equivalents	(15,279)	(16,000)	41,123	40,699
Movement in cash and cash equivalents				
At the start of period	121,567	119,610	(32,869)	(33,601)
(Decrease)/increase	(15,279)	(16,000)	41,123	40,699
At the end of period	106,288	103,611	8,254	7,098

KELANI TYRES PLC AND ITS GROUP

NOTES TO THE INTERIM FINANCIAL STATEMENTS:

(all amounts are in Sri Lanka Rupees thousands)

1 General Information

Company

The company is a limited liability company incorporated and domiciled in Sri Lanka and listed on the Colombo Stock Exchange. The address of its registered office is P.O.Box 8, Nungamugoda, Kelaniya.

Group

Joint Venture (JV):

The JV's principal activity is the manufacture of tyres and tubs locally and its sale thereof locally and internationally.

Subsidiary company:

The principal business activity is to hire out motor vehicles.

2 Basis of preparation

The Interim Financial Statements have been prepared in compliance with Sri Lanka Accounting Standard (SLAS)/LKAS-34 Interim Financial reporting. These interim financial statements should be read in conjunction with the annual financial statement for the year ended 31 Mar. 2020,

3 Significant Accounting Policies

3.1-The Company has adopted consistent accounting policies and method applied for the year ended 31st March 2020 and the presentation and classification of the financial statements of the previous year have been amended where relevant for better presentation and to be comparable with those of the current year.

3.2-Segment reporting

Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision maker. The chief operating decision maker, who is responsible for allocating resources and assessing performance of the operating segments, has been identified as the Board of directors. The Group has one reportable segment which is the Company.

4 Stated Capital

Stated Capital represented by issued shares is given below:

	6/30/20	3/31/20	6/30/19
Ordinary shares as at	80,400	80,400	80,400

5 There have been no other events subsequent to the Balance Sheet date, which require disclosure in the Interim Financial Statements.

6 Provision was made for taxation by joint venture CEAT SRI LANKA as follows:

	Rs.
Profit before Tax JV	29,811,086
Add/(Less): Provision for Tax	152,902,909
Profit after Tax	182,713,995

7 There were no Contingent Liabilities or Contingent Assets since the Balance Sheet date.

8 There were no Liability towards Management fee or any similar expenditure not provided for in the Interim Financial Statements.

9 Dividend per share

	Group		Company	
	6/30/20	6/30/19	6/30/20	6/30/19
Dividend received from the JV	Nil	Nil	Nil	Nil
Dividend declared & paid to shareholders	Nil	Nil	Nil	Nil
Number of shares in issue (thousands)	80,400	80,400	80,400	80,400
Dividend per share - (Rs.)	Nil	Nil	Nil	Nil

10 The figures have been presented in these financial statements are provisional and subject to audit, and also comparative figures have been reclassified where necessary.

11 Market price per share:

for the Three months ended 30th June.

	2020	2019
	Rs.	Rs.
Highest Price (25/06/20 & 30/05/19)	42.80	36.90
Lowest Price (11/05/20 & 07/05/19)	32.00	29.00
Last Traded Price	42.20	34.90

KELANI TYRES PLC
TOP 20 SHARE HOLDERS LIST
AS AT 30-06-2020

No.	Name	No of Shares	%
1	SILVERSTOCK LIMITED	36,975,523	45.989
2	BANCK OF CEYLON A/C CEYBANK UNIT TRUST	7,953,053	9.892
3	MR. GANARAJAH N	6,505,092	8.091
4	MR. UDESHI H M	4,132,857	5.140
5	BANK OF CEYLON ACCOUNT CEYBANK - CENTURY GROWTH FUND	1,744,221	2.169
6	MR. R. C. D. DE SILVA	1,733,800	2.156
7	EMPLOYEES PROVIDENT FUND	1,553,800	1.933
8	MR. PUSPARAJ N. & MRS. PUSPARAJ. K	1,255,279	1.561
9	BANK OF CEYLON NO. 1 ACCOUNT	1,016,213	1.264
10	MRS. SARASWATHI V.	742,906	0.924
11	PEOPLE'S LEASING & FINANCE PLC / DON AND DON HOLDINGS (PRIVATE) LIMITED	709,535	0.883
12	Mr. VASUDEVAN . S	552,350	0.687
13	Mr. TIRATHDAS A.	441,227	0.549
14	ARUNA ENTERPRISES (PVT) LTD	437,600	0.544
15	HATTON NATIONAL BANK PLC / A. SITHAMPALAM	386,000	0.480
16	MR. POBRAN B.	350,240	0.436
17	RANSIRI ENTERPRISES (PVT) LTD	310,000	0.386
18	MR. DANGAMPOLA G./MRS. DANGAMPOLA N. P.	303,009	0.377
19	MRS. MULJIE. N	291,694	0.363
20	MR. CARIMJEE. Z. G	234,533	0.292

PUBLIC HOLDING

The percentage of shares held by the public as at 30th June 2020 is 51.844% comprising of 8,167 shareholders
(30th June 2019 - 51.919% comprising of 8,231 shareholders)

FLOAT ADJUSTED MARKET CAPITALIZATION - RS. 1,759,011,417/-

The Company is in compliance with Option 5 of Section 7.13.1 (a) of the Listing Rule of the Colombo Stock Exchange pertaining to minimum public holding.

SHARE HOLDINGS BY THE DIRECTORS AS AT 30TH JUNE 2020

Names of Directors	No of Shares as at 30th June. 2020	%
Mr. Chanaka De Silva	1,733,800	2.156%
Mr. Rohan T. Fernando	Nil	
Mr. T. Bevan Perera	1920	0.002%
Mr. D. S. Kamantha Amarasekera	Nil	
Mrs. S. S. Jayatilaka	240	0.000%
Mr. Eraj T. Fernando	Nil	
Mr. R. P. Weerasooria	Nil	

KELANI TYRES PLC AND ITS GROUP*NOTES TO THE INTERIM FINANCIAL STATEMENTS (cont.):***Joint Venture Performance**

The assets and liabilities and the income and the expenses of the Joint venture as follows:

Summarised Financial Position

	30-06-2020	30-06-2019
Non-Current Assets	6,148,072	5,609,027
Current Assets	5,178,977	5,597,120
Total Assets	11,327,049	11,206,147
Capital and Reserves	7,978,756	8,289,081
Non-Current Liabilities	1,246,238	1,239,062
Current Liabilities	2,102,056	1,678,004
Total Equity & Liabilities	11,327,049	11,206,147

Summarised Income Statement

	2020 Apr. to Jun.	2019 Apr. to Jun.
Production (MT)	2,425	3,643
Total Sales (MT)	2,262	3,688
Domestic Sales	1,405,846	1,888,408
Export Sales	142,362	437,863
Total Sales	1,548,207	2,326,271
Cost of Sales	(1,229,336)	(1,806,300)
Gross Profit	318,871	519,972
Distribution/Administrative Cost	(294,067)	(245,258)
Finance Cost less income	3,700	32,109
Other Operating Income	1,308	8,075
Profit BeforeTax	29,811	314,897
Taxation	152,903	(40,724)
Profit for the period	182,714	274,173
Other Comprehensive income/(Expenses)	(1,034)	442
Total Comprehensive income	181,680	274,615